

Trading Basics

A complete beginner guide to financial markets

12 pages

Educational Guide

Not Financial Advice

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1. What Are Financial Markets?

Financial markets are places — physical or digital — where buyers and sellers exchange assets such as stocks, bonds, currencies, and commodities. The price of any asset is determined by supply and demand: when more people want to buy than sell, prices rise; when more want to sell, prices fall. Everything else — charts, indicators, news — is simply an attempt to predict which direction that balance will tip next.

Key Insight

Markets are driven by human emotion as much as data. Fear and greed are the two forces behind every price move. Learning to recognise them in market behaviour gives you an edge most retail traders never develop.

2. Types of Markets

Market	What You Trade	Trading Hours	Risk Level
Stocks	Company shares (AAPL, NVDA)	Mon-Fri 9:30-4:00 PM ET	Medium
Crypto	Digital currencies (BTC, ETH)	24/7/365	High
Forex	Currency pairs (USD/EUR)	24hrs Mon-Fri	Medium-High
Commodities	Gold, Oil, Wheat	Market hours vary	Medium
Tokens	DeFi & utility tokens	24/7/365	Very High
NFTs	Digital collectibles	24/7/365	Extreme

3. Market Structure

Bull Market

A sustained period of rising prices, typically defined as a 20% gain or more from recent lows. Confidence is high, buyers dominate, and the trend is upward. Example: the crypto bull run of 2020-2021.

Bear Market

A sustained period of falling prices, typically defined as a 20% decline from recent highs. Fear dominates and sellers outnumber buyers. Example: crypto winter 2022.

Correction

A short-term decline of 10-20% from recent highs. Normal and healthy — markets rarely move in a straight line. Corrections flush out over-leveraged traders before resuming the trend.

Consolidation

When price moves sideways within a range, neither trending up nor down. Often a pause before the next major move. Watch for a breakout from the range as the next signal.

Liquidity

How easily you can buy or sell without significantly moving the price. Bitcoin has high liquidity — you can trade millions without much price impact. A small token may have very low liquidity, meaning large trades cause big price swings.

4. Order Types

Understanding order types is fundamental to executing trades correctly.

Market Order

Buy or sell immediately at the best available price. Fastest execution but no control over exact price. Best used for high-liquidity assets when speed matters more than precision.

Limit Order

Set the exact price you want to buy or sell at. The order only executes if the market reaches your price. Gives you price control but no guarantee of execution.

Stop Loss

Automatically sells your position if price drops to a set level, capping your loss. One of the most important risk management tools available. Example: buy at \$100, set stop loss at \$90 — maximum loss is \$10.

Take Profit

Automatically closes your position at a target price, locking in gains. Example: buy at \$100, set take profit at \$130 — profit of \$30 locked in automatically.

5. Risk Management

Risk management is the single most important skill in trading. More traders lose money due to poor risk management than poor analysis.

The 1% Rule

Never risk more than 1-2% of your total trading account on a single trade. If you have \$1,000, never risk more than \$10-20 per trade. This rule ensures no single loss can devastate your account — you need to be wrong 50-100 times in a row before losing everything, which is nearly impossible with good analysis.

Risk/Reward Ratio:

Always aim for a risk/reward ratio of at least 1:2. If you risk \$50, your potential gain should be at least \$100. With this ratio you only need to win 34% of your trades to be profitable overall.

6. Trading Psychology

FOMO (Fear Of Missing Out)

Entering a trade because you fear missing a big move, rather than because your analysis supports it. FOMO trades almost always result in buying the top. The cure: wait for your setup, ignore the noise.

FUD (Fear, Uncertainty, Doubt)

Negative sentiment that causes panic selling, often spread on social media. Markets frequently recover quickly after FUD events. Strong hands who hold through FUD are usually rewarded.

Confirmation Bias

Only looking for information that supports your existing view. Before any trade, actively seek out reasons why you might be wrong. This discipline saves significant losses.

Revenge Trading

Taking larger trades after a loss to recover quickly. One of the most dangerous patterns in trading — it amplifies losses rather than recovering them. After a loss, step away from the screen.

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